same price.

Palmer placed a stop-loss order just below the horizontal trendline, at 29.25, just in case. Then he extended the top trendline. “I worried that the stock might not reach it, so I put a target below the old high at A.”

In less than a week, the stock reached his target and sold at 33.50 (point C). Since the stock was still showing an upward bias, he held off trading and waited for the trend to reverse. Three days later he sold the stock short again at 33. This time, he put a sell order above the lower trendline at 29.50.

“The stock moved against me. Made me nervous.”

I wondered what that would look like. He was already twitchy. He couldn't sit still.

The stock rose to 34 and oscillated up and down for nearly 3 weeks, never quite reaching his stop-loss point of 34.38. Then the stock plunged and zipped across the chart pattern. It hit his target price at point D, and he covered his short.

Sensing a shift in the investment winds, he went long on the stock at the same price but put a stop-loss order below the lower trendline. “The following day, I was stopped out at 29.25 and took a small loss.”

“Then what did you do?” I asked.

He reached for his coffee mug, found it empty, and left the office for a refill. I never did get an answer to my question.